

2018 C L D 282

[Lahore]

Before Abid Aziz Sheikh and Jawad Hassan, JJ

MUHAMMAD SHARIF and others---Appellants

Versus

MUSLIM COMMERCIAL BANK LIMITED and 5 others---Respondents

Civil Appeal No. 84 of 2017, decided on 8th March, 2017.

Financial Institutions (Recovery of Finances) Ordinance (XLVI of 2001)---

---Ss. 19 & 22---Civil Procedure Code (V of 1908), O. XXI, R. 66---Execution of decree---Death of judgment-debtor---Appellants were legal heirs of deceased judgment-debtor and they were aggrieved of the order passed by Executing Court declining to stay auction proceedings---Validity---Decree could be executed against legal heirs of deceased judgment debtor or their property could be auctioned for the satisfaction of decree passed against deceased--- If deceased had left any assets at the time of his death, decree was to be satisfied from such estate---High Court declined to interfere in the order passed by Executing Court whereby objection petition of appellants was dismissed--- Appeal was dismissed in circumstances.

Summit Bank v. Qasim and Co. 2015 SCMR 1341; Niazul Haq v. Rafi Ahmed Qureshi 2016 MLD 493 and Ameer Begum v. Abid Hussain PLD 2011 Lah. 284 rel.

Syed Mansoor Ali Bukhari for Appellants.

ORDER

JAWAD HASSAN, J.---Through the instant Civil Appeal under section 22 of the Financial Institutions (Recovery of Finances) Ordinance, 2001 (the "Ordinance"), the Appellants seek setting aside of order dated 06.03.2017, passed by the Banking Court-V Lahore whereby their objection petition to stay the auction proceedings was dismissed.

2. Brief facts revealed from the appeal are that the Respondent filed a suit for recovery against the Ahad Fibers Pvt. Ltd. registered Office at 191-D Model Town, Lahore which was decreed by the Banking Court-V, Lahore. During the pendency of the execution proceedings the predecessor in interest of the Appellants and one of the Judgment debtors namely Muhammad Sharif passed away on 27.10.2014. The Court has attached the property No.523 Block No.2 Sector D-II, Quaid-e-Azam Town, Lahore for the fulfillment of obligation regarding the remaining decretal amount of Rs.17,40,410/-. The objection petitions filed by the Appellants for stay of auction proceedings was dismissed by the Banking Court vide the impugned order. Hence, the instant appeal.

3. Learned counsel for the Appellants submitted that the execution proceedings are liable to be set aside as no notice under Order XXI, Rule 66, Code of Civil Procedure, 1908 "C.P.C." was issued in the name of Muhammad Sharif (deceased); that the alleged signature on the compromise agreement attributing to Muhammad Sharif are forged one and need to be proved by verification; that in absence of the fresh valuation report, that the property of the Appellants cannot be put up for auction; that the property which is going to be auctioned was never mentioned in the financial documents nor mortgaged one, as such not liable to be auctioned; that the property belonging to the Appellants is going to be auctioned against which there is no liability.

4. We have heard the arguments and perused the record.

5. The perusal of record reveals that a consenting judgment and decree was passed vide order dated 12.06.2006 by the Banking Court. During the execution proceedings judgment debtor namely Muhammad Sharif, predecessor in interest of the Appellants, passed away and the Appellants filed an objection petition for stay of auction proceedings before the execution Court which was dismissed vide the impugned order. From a perusal of impugned order it was disclosed that the decree was passed against the Defendants jointly and severally. Furthermore, the executing Court has rightly held that the Appellants, being legal heirs of the judgment-debtor Muhammad Sharif, are bound to pay the decretal amount.

6. It is a well settled principle of law that a pecuniary obligation undertaken by a deceased would be binding on his legal representatives to the extent of the estate of the deceased in their hand. In this regard the Hon'ble Supreme Court in *Summitt Bank v. Qasim and Co.* (2015 SCMR 1341) held as under:

"it is a well settled principle of law that a pecuniary obligation undertaken by a deceased promisor would be binding on his legal representatives to the extent of the estate of the deceased promisor in their hand. This principle has been statutorily recognized in section 50 of the Civil Procedure Code which lays down the extent to which a decree passed against a judgment-debtor who dies before the decree has been fully satisfied, against his legal representative. Whereas, in the present case, as noted, neither has there been any adjudication of appellant's claim against Tameer-e-Nau and/or Mir Afzal, the principle debtor, or against the deceased, nor has it been judicially determined as to whether the respondents have inherited any property from the deceased, there was/is thus no question of the appellant seeking to right-off the alleged liability and/or seeking any recovery from the respondents without adjudication of the above referred aspects of the matter."

7. It is very much clear from the above judgment that the decree against legal heirs shall be executable to the extent of property of deceased Judgment Debtor, which has come to his hands and not been disposed of and further executing Court may on its own motion or on the application of decree holder, compel such legal heirs to satisfy the decree as it deems fit. There is no room left, which could support the contentions raised by the Appellants' counsel that the decree cannot be executed against legal heirs of deceased/Judgment Debtor or their property cannot be auctioned for the satisfaction of the decree passed against the deceased. In our view, if deceased left any assets at the time of his death decree is to be satisfied from the said-estate. Reliance in this regard can be placed on the case titled *Niazul Haq v. Rafi Ahmed Qureshi* (2016

MLD 493).

8. Moreover in Ameer Begum v. Abid Hussain (PLD 2011 Lahore 284) this Court held as under:

"the legal heirs of deceased Abdul Razaq will inherit his estate subject to first charge of the petitioner as deceased stood guarantor/surety of Ghulam Muhammad qua the suit-land. However, the surety in case of discharge of the obligation of principal is entitled to recover the same from the principal but the legal heirs of deceased surety could not claim that they have been absolved from the liability of their deceased father as he died during the pendency of the suit. The legal heirs of deceased Abdul Razaq will inherit deceased estate subject to payment of his liabilities."

9. In view of the above, there remains no room for the Appellants to get evade the property which is going to be auctioned for the satisfaction of the remaining decretal amount, as such we see no illegality or perversity in the impugned order calling for any interference by this Division Bench.

10. We agree with the findings of the Banking Court which rightly dismissed the objection petition of the Appellants; consequently, the Appeal in hand, being devoid of any merit is hereby dismissed in limine.

MH/M-63/L

Appeal dismissed.